

Day 01, Betash Kumar Tiwari

Q.

How did the abolition of East India Company's trade monopoly under the Charter Acts of 1813 and 1833 accelerate India's transformation from a commercial outpost to a full fledged colony?

The Charter Acts of 1813 and 1833 curtailed the East India Company's (E.I.C) power by reducing its trade monopoly initially and then shifted company's focus from trade to Administrative power leading to take control over the governance of India, thereby making India a colony from a commercial outpost.

The role of both the acts are described as follows:

A. The Charter Act of 1813

After the end of Charter act of 1793 in 1813, the crown curbed the trade monopoly of E.I.C by allowing it to do trade with China.
• Tea trade

By this time Britain was facing disruption in business due to blockade by Napoleon in European countries.

The crown now allowed open trade to all British merchants through license in India & curbed E.I.C.'s monopoly.

Objectives of Charter Act 1813

- To end E.I.C.'s monopoly over trade and affirm crown's sovereignty over Indian territories.
- Introduce western education
- Introduce religious missions and promote Christianity.

Impact of Charter Act 1813

- British private capital entered the Indian market leading to downfall of domestic market.
- Socio religious tensions began to rise due to missionary work.
- A new class of English Educated Indians was formed who became the future leaders for nationalism.

Role of Charter Act of 1813 in the Constitutional Development:

The Charter Act of 1813

- Asserted crown's political sovereignty over Indian territory as it laid early foundation for state responsibility of welfare (eg education, religious tolerance)
- Role of company i.e. E.I.C started shifting from trading body to Governing body.
- Created a legal framework which equalized British and Indian subjects partially.

Thus the Charter Act of 1813 broke the trade monopoly and moral Imperialism began in India.

B. The Charter Act of 1833

The Charter Act of 1833 laid the structural foundation of British Raj in India and was the final step towards the centralisation in British India.

Objectives of Charter Act 1833

- To establish centralized and unified governance for all of British India.
- To establish law making institutions
- To establish merit based framework for employment.
- End E.I.C's trading function completely and establish the supremacy of Crown.

Impact and Outcomes of Charter Act 1833

- It abolished the trade monopoly of E.I.C completely.
- The Governor General of Bengal became the Governor General of India i.e power was now centralized.
 - Lord William Bentinck was the first Governor General of India.
 - Bombay and Madras didn't had legislative autonomy now i.e all legislative power was now centralized in Calcutta (now Kolkata).

- A legislative council was established.
— Thomas Babington Macaulay was first law member.
- A law commission was created in London to codify the Indian laws
— It gave (gave) birth to legal systems like I.P.C, Cr.P.C, C.P.C.
- Merit Based employment policy was formed which had nothing to do with religion, birth, descent or colour.
- Social & religious measures were taken like expanding the Church presence.
- It also enabled colonial infrastructural development. (railway, plantations, etc)

Thus The Charter Act of 1833 laid the foundation of British Raj leading to transformation of India into a government colony of British Empire.